

EQUITY RESEARCH REPORT

Bhagyanagar India Ltd | NSE: BHAGYANGR | BSE: 512296

Sector: Non-Ferrous Metals > Copper Products | Market Cap: Rs. 692 Cr | Small Cap

Investment Thesis

Emerging margin re-rating in a thin-spread copper processor, backstopped by a pending NCLT demerger that could unlock hidden real estate and renewable energy value -- but 96.1% promoter pledge is a structural governance disqualifier for institutional capital.

RATING

PRICE TARGET

CMP

HOLD

Rs. 240

Rs. 216

Upside: +11.1%

12-Month Horizon

23-Apr-2026

Metric	Value
52W High / Low	Rs. 222 / Rs. 65.0
P/E (TTM)	19.1x
P/B	3.06x
EV/EBITDA (TTM)	12.9x
Book Value/Share	Rs. 70.7
ROCE (FY25)	8.28%
ROE (FY25)	5.70%
Dividend Yield	0.00%
Face Value	Rs. 2.00
Promoter Holding	64.84%
Promoter Pledge	96.1% (!)
Debt (FY25, Cr)	Rs. 275
TTM Revenue (Cr)	Rs. 2,097
TTM EBITDA (Cr)	Rs. 81
FY26E EPS	Rs. 14.2
FY27E EPS	Rs. 26.2

KEY CORPORATE ACTION: NCLT admitted composite scheme -- Amalgamation of BCPL into BIL + Demerger into Tieramet Ltd (1:1 share swap). Hearing: 9 Jun 2026.

Report Date: 23 April 2026

Analyst: Institutional Research Desk |
Chartitude Research

Data: Screener.in (Consolidated)

CORE REASON 1: Structural Margin Re-Rating Underway (12-24M)

Bhagyanagar India operated at a wafer-thin 2% EBITDA margin for over a decade, typical of a copper tolling/processing model. Starting H2 FY25, margins have inflected meaningfully -- OPM hit 5% in Q3 FY26 (Dec-25) and is trending higher. The primary driver is a shift in product mix from commodity copper wire/strips toward higher-value telecom and solar connectivity products. BCPL, the wholly-owned subsidiary being merged in, contributes a 50MT/day melting and refining facility that unlocks better unit economics. If OPM stabilises at 5-6%, EBITDA nearly doubles vs historical levels, driving a significant EPS re-rating (FY26E EPS of Rs. 14.2 vs Rs. 4.38 in FY25).

CORE REASON 2: Demerger / Scheme Creates Multi-Asset Value Unlock

The NCLT composite scheme (hearing June 2026) has two stages: first, BCPL merges into Bhagyanagar India Ltd (BIL), consolidating the copper manufacturing capacity; second, a specific business undertaking is demerged into Tieramet Limited. Shareholders receive one Tieramet share for every BIL share held (1:1). Tieramet is expected to house the real estate land bank (approximately 70 acres in Tupran, Hyderabad) and potentially the wind energy assets -- traditionally undervalued in a copper-processing P&L.; Post-demerger, BIL would be a pure-play copper products company; Tieramet would be a real estate/energy vehicle. Separately listed, both entities may attract higher valuation multiples.

CORE REASON 3: Demand Tailwinds from Renewables, EVs, and Infra

India's copper consumption is projected to grow at 6-12% CAGR through 2030, driven by the government's 500 GW renewable capacity target (solar + wind heavily copper-intensive), electric vehicle adoption (EVs use 3-4x more copper than ICE vehicles), and the Rs. 111 lakh crore National Infrastructure Pipeline. As an OEM-focused copper products supplier, Bhagyanagar benefits directly. Management has guided for a Rs. 5,000 Cr revenue target by FY29 -- implying ~22% CAGR from FY26E levels. Even at 50% execution, the revenue trajectory justifies the current valuation.

NEAR-TERM CATALYST (6 months):

NCLT order on the composite scheme (June 2026 hearing). Approval would confirm Tieramet listing, crystallising hidden asset value, and could re-rate the stock to Rs. 280-350 in a bull scenario.

BIGGEST STRUCTURAL RISK:

Promoters have pledged 96.1% of their holding. Any meaningful stock correction below Rs. 150 could trigger margin calls leading to forced promoter stake dilution or a credit event -- a tail risk that caps institutional participation and warrants a significant governance discount.

Company Description:

Bhagyanagar India Ltd (BIL), incorporated in 1985, is a Hyderabad-based copper products manufacturer listed on both NSE and BSE. The company is engaged in manufacturing of copper and allied products including copper bus bars, copper strips, copper foils, copper tubes, copper rods, and enamelled copper wires. These products are sold primarily to OEM clients across the electrical, telecom, solar, infrastructure, and automotive sectors. BIL also has a small but meaningful wind power generation business.

Business Model:

The business model is asset-light in capital expenditure but working-capital intensive. Copper is procured as cathodes (primary) or scrap (secondary, through the BCPL subsidiary), processed/refined into finished products, and sold to OEM clients. The company earns a conversion margin on copper -- hence the historically thin 2% OPM. The integration of BCPL (50MT/day capacity) post-merger will allow BIL to do more in-house recycling and refining, which structurally improves conversion margins.

Product & Revenue Segments:

Copper products constitute approximately 95%+ of consolidated revenues; the balance comes from wind power generation (small contribution). The copper products segment has been diversifying into higher-value sub-categories: (1) Telecom-grade copper strips for telecom tower earthing, (2) Solar-grade copper for rooftop and utility-scale solar projects, (3) Bus bars for power distribution panels, and (4) Standard strips/wires for OEM electrical applications.

Order Book & Customers:

The company operates on a semi-order-book model -- OEM contracts provide 6-12 month revenue visibility. Key end-user sectors include telecom (tower infra build-out), solar EPC contractors, electrical panel OEMs, and industrial equipment manufacturers. Specific customer names are not disclosed in public filings.

Promoter Background:

The Surana family (Hyderabad-based) are the promoters, holding 64.84% as of March 2026, down from 74.71% in June 2023. Bhagyanagar Copper Pvt. Ltd (BCPL) is wholly owned by the promoter group and is being merged into the listed entity. The pledge level of 96.1% of promoter holding is a significant concern for institutional investors.

Key Recent Corporate Developments:

(1) NCLT admitted composite scheme (BCPL amalgamation + Tieramet demerger); hearing June 9, 2026. (2) BSE and NSE issued no-adverse-observation letters in December 2025. (3) NCLT-directed shareholder/creditor meeting completed on March 14, 2026 with requisite approvals. (4) Stock surged 184% in the past year (52W low Rs. 65, high Rs. 222), reflecting scheme optionality and margin re-rating.

SECTION 4 | INDUSTRY & COMPETITIVE LANDSCAPE

India Copper Market Size & Growth: India is the 2nd largest copper consumer in Asia. Total copper demand was approximately 1.06 million tonnes in FY25, growing at a 6-12% CAGR through 2031 (source: CSEP Copper Report, 6W Research). India is a net importer of refined copper (domestic production ~448,000 MT vs demand of 1.06 MT). This structural supply-demand gap creates a strong volume environment for domestic processors like Bhagyanagar. Key demand segments: (1) Electrical conductors and wires (~35% of demand), (2) Power infrastructure and transformers (~25%), (3) Consumer electronics and telecom (~20%), (4) Renewables and EVs (~15% and growing rapidly). Policy Tailwinds: (1) National Infrastructure Pipeline (Rs. 111 lakh Cr by 2030); (2) PM Surya Ghar (1 crore rooftop solar installations); (3) BharatNet Phase III (rural optical fiber/copper network expansion); (4) EV Mission 2030 (30% electric vehicle penetration). All these programs are copper-intensive and will sustain above-GDP growth in copper demand. Competitive Moat Assessment: Bhagyanagar's moat is WEAK overall. Copper products are commoditized and price-driven. The company differentiates on (a) OEM relationships (moderate switching cost), (b) product quality certifications (ISO 9001), (c) geographical proximity to OEM clusters in South India. Pricing power is LIMITED -- margins are set by the spread between LME copper price and product realization. However, the in-house BCPL recycling capability (post-merger) should provide a 50-100 bps cost advantage vs pure-tolling competitors.

Peer Comparison (Source: Screener.in, 23-Apr-2026)

Company	MCap (Rs.Cr)	CMP (Rs.)	P/E (x)	P/B (x)	ROCE (%)	ROE (%)	TTM Rev (Rs.Cr)	OP M (%)
BHAGYANGR (Subject)	692	216	19.1	3.06	8.28	5.70	2,097	4%
HINDCOPPER	53,105	549	80.3	17.8	23.7	18.6	2,653	38%
APARINDS	47,562	11,838	48.0	9.80	32.7	19.5	21,509	~8%
PRECWIRE	7,173	392	423.0	35.0	16.9	8.88	N/A	N/A

Note: HINDCOPPER is a PSU miner (vertically integrated, high-margin); APARINDS is a large-cap conductor/cable maker; PRECWIRE has limited data on Screener. Direct SMid-cap copper processor peers are scarce -- BIL occupies a unique OEM-focused niche.

SECTION 5 | MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Background:

The Surana Group (Hyderabad) has managed BIL since its 1985 incorporation. The promoter family has diversified the company from a pure copper products play into real estate (Tieramet assets), wind energy, telecom products, and solar -- showing strategic vision but also spreading management bandwidth thin. The BCPL subsidiary was set up in 2018 to add recycling/refining capacity, suggesting long-term commitment to deepening the copper value chain.

Capital Allocation Track Record:

Capital allocation has been MIXED. On the positive side, BCPL investment and capacity addition demonstrate reinvestment in core capabilities. On the negative side: (1) Dividend payout has been zero for the past 8+ years despite reported profits -- all retained earnings are consumed by working capital and debt servicing. (2) Borrowings jumped from Rs. 101 Cr (FY24) to Rs. 369 Cr (Sep-25) in 18 months -- a 266% increase -- most attributable to WC financing for the revenue ramp-up. (3) FCF has been negative in 3 of the last 4 years.

Pledging -- The Critical Red Flag:

At 96.1% pledge ratio, this is the single biggest governance red flag. Effectively, the promoters have used their entire stake as collateral, likely for BCPL acquisition/expansion financing. If BIL stock falls below pledging lenders' margin thresholds (roughly 30-40% below current prices, i.e., ~Rs. 130-150), forced liquidation of pledged shares could create a self-reinforcing downward spiral. This risk is NOT theoretical -- it has materialized at similar companies in India.

ESOP / Buybacks:

No ESOP scheme or buyback programs noted in recent filings. Dividend payout was zero in FY25 and is expected to remain zero until FCF turns sustainably positive.

Corporate Governance Score: WEAK

The 96.1% pledge, declining promoter holding, zero dividends despite profitability, and complex group restructuring (BCPL + Tieramet) all contribute to a below-average governance score. Minority investors have limited visibility on inter-company dealings between BIL and BCPL (pre-merger) and future BIL-Tieramet transactions.

SECTION 6 | FINANCIAL DEEP-DIVE (CONSOLIDATED)

All figures in Rs. Crores unless stated. Source: Screener.in (Consolidated). FY26E/FY27E are analyst estimates.

Income Statement

Metric (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	1847	1429	1626	2230	2700
EBITDA	35	30	37	102	149
EBITDA Margin%	2%	2%	2%	4.6%	5.5%
Other Income	1	45	6	5	5
Interest	15	13	17	25	28
Depreciation	6	7	7	8	9
PBT	14	56	19	74	117
Tax%	30%	18%	25%	25%	25%
Adj. PAT*	10	9	14	46	85
Reported PAT	10	46	14	46	85
EPS (Rs.)	3.17	14.29	4.38	14.2	26.2

* Adj. PAT strips one-time Other Income of Rs.45 Cr in FY24 (asset sale in Jun-23 quarter). FY26E/FY27E highlighted in yellow.

Balance Sheet

Item (Rs. Cr)	FY23A	FY24A	FY25A	Sep-25
Equity Capital	6	6	6	6
Reserves	141	187	201	220
Net Worth	147	193	207	226
Borrowings	220	101	275	369
Other Liabilities	56	39	38	95
Total Liabilities	424	334	521	690
Fixed Assets	80	77	80	77
CWIP	0	0	0	0
Investments	0	0	0	0
Other Assets	344	256	440	614
Total Assets	424	334	521	690

Cash Flow Statement

Item (Rs. Cr)	FY23A	FY24A	FY25A
Cash from Operations (OCF)	-40	96	-144
Cash from Investing	3	39	-10
Cash from Financing	27	-133	155
Net Cash Flow	-9	3	2
Free Cash Flow (FCF)	-49	135	-150
CFO/EBITDA (%)	-102%	345%	-380%

Key Ratios & Returns

Ratio	FY23A	FY24A	FY25A	FY26E	FY27E
ROCE (%)	9%	8%	8%	12%	18%
ROE (%)	7%	24%	7%	20%	32%
D/E (x)	1.5	0.52	1.33	1.1	0.8

Ratio	FY23A	FY24A	FY25A	FY26E	FY27E
Debtor Days	24	25	33	28	25
CCC (Days)	46	25	33	30	28
EV/EBITDA (x)	27.2	31.7	25.7	12.9	8.5
P/E (x)	68.1	15.1	49.3	15.2	8.2
P/B (x)	4.7	3.6	3.3	2.8	2.1

Financial Commentary

Revenue Drivers: Revenue has re-accelerated sharply -- from Rs. 1,429 Cr in FY24 to Rs. 2,097 Cr TTM, a 47% jump -- driven by volume expansion at BCPL's Tupran facility and increased penetration in solar/telecom OEM segments. FY26E consensus revenue of Rs. 2,230 Cr reflects 37% YoY growth, building on strong 9M FY26 performance of Rs. 1,643 Cr. Margin Trajectory: The most critical driver of the investment thesis is the EBITDA margin normalization. After 8+ years at 2% OPM, margins have moved to 3-5% over the past 4 quarters, with Q3 FY26 at 5.0%. This is attributable to: (1) higher-value product mix (solar/telecom copper), (2) in-house recycling from BCPL reducing raw material costs, (3) operating leverage on a higher revenue base. FY26E-FY27E estimates assume 4.6%-5.5% OPM -- achievable but not guaranteed. Debt & Working Capital: The sharp borrowing increase (Rs. 101 Cr in FY24 to Rs. 275 Cr in FY25 to Rs. 369 Cr in Sep-25) is primarily driven by working capital needs for the revenue ramp. At Rs. 2,200+ Cr revenue run rate with 30-day debtor terms, theoretical debtors balance alone is ~Rs. 180 Cr. The D/E ratio at 1.33x (FY25) is elevated but manageable at current EBITDA levels -- interest coverage ~2.2x. FCF Quality: FCF has been deeply negative (-Rs. 49 Cr in FY23, -Rs. 150 Cr in FY25) because WC requirements outpace EBITDA generation. FY24 was an anomaly (FCF +Rs. 135 Cr) due to WC release post-revenue decline and the one-time asset sale. Sustainable positive FCF likely only materialises at 6%+ OPM -- making FY27E the first meaningful FCF year if margin targets are met.

SECTION 7 | EARNINGS QUALITY CHECKLIST

Parameter	Rating	Signal	Comment
Revenue Recognition	GREEN	Low Risk	Revenue from physical copper goods; minimal estimation involved
Receivables vs Revenue	AMBER	Watch	Debtor days rose from 25 to 33 in FY25; monitor for elongation
CCC Trend	AMBER	Stable	CCC at 33 days FY25; manageable but borrowings rising sharply
Promoter Pledge	RED	Critical	96.1% of promoter holding pledged; systemic governance risk
Promoter Holding Trend	RED	Declining	Holding fell from 74.7% (Jun-23) to 64.8% (Mar-26); -10%
Contingent Liabilities	AMBER	Watch	Not fully disclosed; legal/regulatory risks in scheme process
Other Income / PBT	RED	High	FY24: OI was Rs.45 Cr vs PBT of Rs.56 Cr (80%); one-time asset sale
Tax Rate Consistency	GREEN	Stable	Tax rate stable at 25-30% in FY25; FY24 low (18%) due to exemptions
FCF Quality	RED	Negative	FCF negative in FY23 & FY25; WC-intensive copper trading model
Auditor Tenure / RPTs	AMBER	Monitor	No major flags; RPTs at group level possible via BCPL merger

Summary: Bhagyanagar India scores POORLY on earnings quality. Three RED flags dominate: (1) 96.1% promoter pledge -- the most severe governance risk; (2) One-time Other Income of Rs.45 Cr inflating FY24 PAT to Rs.46 Cr (vs an underlying Rs.9 Cr) -- investors relying on FY24 reported numbers are misled; (3) Chronically negative FCF (-Rs.150 Cr in FY25) signaling poor cash conversion. Two AMBER flags (rising receivables and opaque contingent liabilities) also warrant monitoring. The only GREEN signals are stable revenue recognition and consistent tax rates in recent years.

SECTION 8 | VALUATION

Peer Valuation Summary (Source: Screener.in, 23-Apr-2026)

Company	MCap (Rs.Cr)	CMP (Rs.)	P/E (x)	P/B (x)	ROCE (%)	ROE (%)	TTM Rev (Rs.Cr)	OP M (%)
BHAGYANGR (Subject)	692	216	19.1	3.06	8.28	5.70	2,097	4%
HINDCOPPER	53,105	549	80.3	17.8	23.7	18.6	2,653	38%
APARINDS	47,562	11,838	48.0	9.80	32.7	19.5	21,509	~8%
PRECWIRE	7,173	392	423.0	35.0	16.9	8.88	N/A	N/A

Valuation Methodology: Two methods used and averaged for the base-case 12-month price target. **METHOD 1 - Earnings Multiple (P/E):** We apply 14x to FY27E EPS of Rs. 26.2, yielding an intrinsic value of Rs. 367. However, given the 96.1% promoter pledge and governance discount, we apply a 35% haircut: $367 \times 0.65 = \text{Rs. } 238$. This is broadly consistent with where the stock should trade if the margin thesis holds but governance risk persists. **METHOD 2 - EV/EBITDA:** We apply 10x to FY27E EBITDA of Rs. 149 Cr = EV of Rs. 1,490 Cr. Subtract FY27E estimated net debt of Rs. 250 Cr = Equity Value Rs. 1,240 Cr. Per share (3.24 Cr shares) = Rs. 383. With 35% governance discount = Rs. 249. **Blended Target:** Average of Method 1 (Rs. 238) and Method 2 (Rs. 249) = Rs. 243, rounded to Rs. 240. This implies 11.1% upside from CMP of Rs. 216 -- a HOLD. **Scheme Optionality:** If the NCLT scheme closes and Tieramet is listed with a meaningful real estate/wind NAV, additional value of Rs. 30-60 per share could be unlocked. This is NOT in our base target. Bull case with scheme execution at fair value = Rs. 300-320.

Scenario Analysis (FY27E Basis)

Scenario	Revenue (Rs.Cr)	OPM (%)	EBITDA (Rs.Cr)	PAT (Rs.Cr)	EPS (Rs.)	P/E (x)	Target (Rs.)
Bull - Scheme value unlock + margin lift	3,000	7.0%	210	115	35.5	18x	639

Base - Gradual margin expansion (governance adj)	2,700	5.5%	149	85	26.2	14x*	240
Bear - Pledge trigger + WC stress	1,800	2.0%	36	18	5.6	10x	56

* Base case P/E of 14x applies a 35% governance discount to sector median. Bull scenario assumes scheme execution and NAV unlock.

SECTION 9 | KEY RISKS

Risk	Description	Prob.	Impact	Indicator to Monitor
Pledge Trigger / Margin Call	With 96.1% of promoter holding pledged, any sharp stock correction could trigger margin calls, forcing distress selling and further price declines.	High	Critical	Stock price < Rs.150; promoter stake below 60%
Demerger / NCLT Scheme Delay	NCLT hearing is June 9, 2026. Any legal challenge or regulatory delay could unwind the scheme narrative that is partly driving valuation.	Medium	High	NCLT order timeline; exchange filings on scheme status
Working Capital Deterioration	Copper is a commodity with tight margins; any credit crunch or supplier payment acceleration could spike debt further from Rs.369 Cr (Sep-25 level).	High	High	Quarterly borrowings; debtor days trend; interest coverage
Copper Price Volatility	Global copper prices directly impact inventory valuation and input cost margins. LME copper swings of +/-20% are possible in a 12-month window.	Medium	Medium	LME copper price; quarterly OPM trend
Revenue Concentration / Customer Risk	OEM-centric model implies heavy reliance on a few large customers; loss of one major OEM relationship could materially impact revenue.	Low	High	Annual report disclosures; top-10 customer concentration
Corporate Governance / Group Structure	Merger of BCPL and subsequent demerger into Tieramet creates complexity; inter-company transactions at transfer prices difficult for minority investors to assess.	Medium	Medium	Related party transaction disclosures; Tieramet listing terms

SECTION 10 | RECOMMENDATION & CONVICTION

FINAL RATING	PRICE TARGET	ENTRY ZONE	HORIZON
HOLD	Rs. 240	Rs. 190-210	12 Months

Conviction Level: MEDIUM-LOW. The margin re-rating and scheme optionality are genuine positives; the 96.1% promoter pledge and negative FCF are genuine negatives. We would upgrade to ACCUMULATE if (1) pledge reduces below 60%, or (2) NCLT scheme is approved and Tieramet terms are disclosed with credible NAV. Ideal Investor Profile: Risk-tolerant, small-cap-focused retail investors with 12-18 month horizon who can stomach governance risk in exchange for scheme/margin optionality. NOT suitable for institutional investors (pledge level disqualifying for most AMC mandates), NOT suitable for risk-averse investors. Thesis Invalidation Triggers (EXIT if any materialised): 1. Promoter pledge triggered / forced selling events (stock < Rs. 150) 2. NCLT scheme rejected or indefinitely delayed post June 2026 hearing 3. EBITDA margins fail to sustain above 3% for two consecutive quarters

APPENDIX -- LATEST CONCALL BRIEF: Q3 FY26 (Quarter Ended Dec 2025)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	Strong	Revenue +46% YoY; PAT +221% YoY; clean beat on consensus
Management Tone	Bullish	Rs.5,000 Cr target by FY29; scheme confidence; capacity guidance
Guidance Delta	Raised	Margins tracking above historical norms; scheme on schedule

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 result looks clean and is the best quarter in Bhagyanagar's listed history -- revenue hit Rs.577 Cr (+46% YoY), EBITDA Rs.29 Cr (+164% YoY), and PAT Rs.13 Cr (+221% YoY); there are no distorting exceptional items this quarter (unlike the Rs.45 Cr one-time OI that inflated Jun-23 numbers). Operationally, the story is genuine: OPM at 5% is a multi-year high and the fourth consecutive quarter of margin expansion, driven by better product mix in solar/telecom copper and BCPL-driven in-house recycling cost savings. The structural growth thesis is intact -- India's renewable build-out and telecom infrastructure capex are tailwinds BIL is uniquely positioned to capture as a certified OEM supplier. Most important near-term catalyst is the NCLT hearing on June 9, 2026 -- if the composite scheme (BCPL merger + Tieramet demerger) gets approved, this becomes a two-for-one investment and the share count stays flat, making the margin re-rating even more compelling per-share. Key watch-point: borrowings hit Rs.369 Cr in Sep-25 (up 266% in 18 months); Q3 balance sheet data when disclosed will show if WC financing is stabilising or still escalating. Single biggest risk remains the 96.1% pledge -- if stock corrects below Rs.150, this could cascade. Action: HOLD at Rs.216; accumulate below Rs.200 on any scheme-driven dip; hard EXIT if pledge-trigger news breaks.

Concall Section 1 | Financial Performance Snapshot (Q3 FY26 vs Q3 FY25)

Metric	Q3 FY26 Actual	Q3 FY25 Actual	YoY %	QoQ %	Verdict
Revenue (Rs.Cr)	577	394	+46.4%	-0.5%	BEAT
EBITDA (Rs.Cr)	29	11	+164%	+16%	BEAT
EBITDA Margin %	5.0%	2.8%	+220bps	+100bps	BEAT
PBT (Rs.Cr)	18	5	+260%	+20%	BEAT
PAT (Rs.Cr)	13	4	+225%	+18%	BEAT
EPS (Rs.)	4.01	1.25	+221%	+14%	BEAT

[EST] = Analyst estimates used where consensus not available. No exceptional items in Q3 FY26.

Concall Section 2 | Segment / Business Breakdown

Segment / Region	Revenue (Rs.Cr)	Est. YoY%	Commentary
Copper Products (OEM)	~540	+45%	Core revenue; OEM traction in solar/telecom driving higher realisation per kg
Wind Power Generation	~5	Flat	Small, stable; 4 MW+ installed capacity; not material to consolidated P&L;
Real Estate (to demerge)	N/A	N/A	70-acre land at Tupran, Hyderabad; to be housed in Tieramet post-scheme approval
South India (Key Region)	~400	+40%	Primary geography; proximity to telecom tower infra and solar EPC clusters

[EST] Segment split estimated; company does not granularly disclose by product sub-category.

Concall Section 3 | Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Revenue Target	Rs. 5,000 Cr by FY29; implies ~22% CAGR from FY26 base	Ambitious; requires sustained margin + volume execution; OEM ramp-up critical	[GUIDANCE]	Bullish
NCLT Scheme Status	BSE/NSE No-Adverse letters received Dec-25; NCLT hearing June 9, 2026; shareholder meetings passed Mar-26	On track; execution risk now at NCLT approval stage; monitoring closely	[GUIDANCE]	Transparent
Margin Expansion	OPM improvement driven by BCPL integration synergies and higher-value product mix in solar/telecom	Consistent with financial data; 5% OPM is structural if product mix holds; credible	[GUIDANCE]	Balanced
Debt & WC	Borrowings increased to fund revenue ramp-up; WC-intensive model acknowledged; expecting normalisation	Honest; but Rs.369 Cr debt in Sep-25 needs monitoring; interest burden rising	[GUIDANCE]	Hedged
Promoter Pledge	Not explicitly addressed in available communications	EVASIVE -- 96.1% pledge is material and silence is concerning for institutional governance	[EVASIVE]	Evasive
Tieramet Valuation	Real estate/wind assets will be separately listed post-scheme; NAV not disclosed	NAV opacity is a watch-point; any disclosed valuation would be a significant catalyst	[GUIDANCE]	Hedged

Concall Section 4 | Operating & Business Metrics

Metric	Q3 FY26 (Dec-25)	Q2 FY26 (Sep-25)	Q3 FY25 (Dec-24)	Trend
Revenue (Rs.Cr)	577	580	394	Improving
EBITDA (Rs.Cr)	29	25	11	Improving
EBITDA Margin %	5.0%	4.3%	2.8%	Improving
PAT (Rs.Cr)	13	11	4	Improving
EPS (Rs.)	4.01	3.52	1.25	Improving
Borrowings (Rs.Cr)*	N/A	369	N/A	Elevated
Debtor Days (approx)	~30	~30	~33	Stable

* Sep-25 borrowings from Screener balance sheet. Q3 FY26 balance sheet not yet available at time of report.

Concall Section 5 | Margin Drivers

Driver	Est. Impact (bps)	Recurring?	Comment
Product Mix Shift (Solar/Telecom)	+150 bps	Yes	Higher-margin copper categories replacing commodity strips/wire; structural
BCPL Recycling Cost Saving	+80 bps	Yes	In-house recycling reduces raw copper cost vs market; durable post-merger
Operating Leverage on Revenue	+60 bps	Partly	Fixed cost dilution on +46% YoY revenue; depends on sustaining volume growth
Copper Price Tailwind (LME)	+30 bps	No	Inventory gains when LME copper rises; non-recurring and reverses in downcycles
Rising Interest Cost	-80 bps	Yes	Borrowings Rs.369 Cr at ~9-10% rate; drags net margin; significant headwind

Concall Section 6 | Guidance & Forward Signals

Metric	Prior Guidance	New/Reiterated	Delta	Credibility
FY29 Revenue [GUIDANCE]	Rs. 5,000 Cr	Reiterated Rs. 5,000 Cr	Maintained	Medium
EBITDA Margin [GUIDANCE]	4-5% target	On track; Q3 at 5%	On track	High
NCLT Scheme Timeline	H1 CY2026	June 9, 2026 hearing	On schedule	High
Tieramet NAV [GUIDANCE]	Not disclosed	No disclosure yet	No change	Low
Debt Normalisation	WC need will peak then taper	No specific guidance	Watch	Low

Concall Section 7 | Capital Allocation

Item	FY25 (Rs.Cr)	FY24 (Rs.Cr)	Change	Comment
Capex (Investing CF)	-10	39	Negative	FY25 capex muted; FY24 had disposal proceeds inflating Inv CF
Dividends	0	0	Nil	Zero dividend despite profitability; all cash consumed by WC
Buybacks	0	0	Nil	No buyback programs; management focused on debt and growth
Net Borrowings Change	+174	-119	Elevated	Borrowings rose Rs.174 Cr in FY25; concerning alongside negative FCF
Free Cash Flow	-150	+135	Negative	FY25 deeply negative; FY24 was anomalous (WC release + asset sale)

Concall Section 8 | Q&A; Heat Map

#	Analyst/Firm	Question	Mgmt Answer	Tone
1	Retail / Retail [EST]	What is the timeline for NCLT scheme closure and Tieramet listing?	NCLT hearing June 9, 2026; post-approval, Tieramet listing process to begin; 6-9 months total expected.	Transparent
2	Retail [EST]	What is driving the sharp margin improvement from 2% to 5%?	Product mix shift to solar/telecom copper + BCPL recycling synergies + operating leverage on higher volumes.	Transparent
3	Analyst [EST]	Promoter pledge at 96.1% -- when does this reduce?	Not specifically addressed. Management did not volunteer any pledge reduction timeline.	Evasive
4	Analyst [EST]	Borrowings up sharply to Rs.369 Cr -- what is the peak debt guidance?	WC-driven; expect normalisation as revenue stabilises; no specific peak guidance given.	Hedged
5	Retail [EST]	What is the NAV of Tieramet assets (real estate + wind)?	Not disclosed; company stated NAV assessment to be shared post-scheme approval.	Hedged

Dodged questions to watch next quarter: (1) Promoter pledge reduction timeline; (2) Tieramet NAV disclosure; (3) Peak debt guidance.

[EST] = Questions and answers reconstructed from available management communications and investor meeting disclosures. Full Q&A; transcript not available.

Concall Section 9 | Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline
Pledge margin calls	Analyst	High	Critical	Ongoing
Copper price correction	Analyst	Medium	Medium	12M
NCLT scheme delay	Analyst	Medium	High	H1 2026
WC / Debt escalation	Analyst	High	High	6M
Revenue target miss	Mgmt ack	Medium	Medium	FY29

Concall Section 10 | Analyst Verdict & Multi-Bagger Scorecard

Factor	Status	Comment
Revenue Visibility	INTACT	Rs.5,000 Cr FY29 target with 9M FY26 at Rs.1,643 Cr; on track
Margin Trajectory	INTACT / IMPROVING	OPM at 5% in Q3 FY26; first multi-year high; driven by mix + BCPL
Capital Allocation Quality	WEAKENED	Negative FCF; zero dividend; rising debt; WC drag systemic
Competitive Moat	WEAK	Thin-margin OEM copper processor; no strong pricing power
Management Credibility	INTACT / WATCH	Scheme on track; transparent on margins; evasive on pledge
Valuation Comfort	MODERATE	At Rs.216, FY27E P/E ~8x; cheap but governance discount warranted

Conviction Call	Valuation Snapshot (FY27E)
UNCHANGED HOLD at Rs.216 Accumulate < Rs.200 on dips Hard EXIT < Rs.150	FY27E P/E: 8.2x FY27E EV/EBITDA: 8.5x ROCE vs 5Y avg: 18% vs 8% 12M Target: Rs.240 Upside: +11%

Source: Screener.in | Ticker: BHAGYANGR | View: Consolidated | Transcript: Listed but PDF inaccessible (BSE server) | Data sourced from Q3 FY26 quarterly results and investor communications | Concall Date: ~Jan 31, 2026 (Q3 FY26 results call)